

THE FORGE The RINL plant; (right) Union steel minister H.D. Kumaraswamy on a visit in July 2024

THE NATION | **VIZAG STEEL**

A LIFELINE FOR VIZAG STEEL

STEEL MAJOR RASHTRIYA ISPAT NIGAM LTD GETS A CHANCE TO TURN THINGS AROUND WITH A FINANCIAL PACKAGE OF RS 11,440 CR. FROM THE CENTRE. THE PSU'S INHERENT LIMITATIONS, THOUGH, MAY PLAY SPOILER

By Amarnath K. Menon

Visakhapatnam, or as the Telugu *biddas* like to call it, 'Vizag', is Andhra Pradesh's biggest metro city and lays claim to such honorifics as the 'shipbuilding capital of India' and the 'jewel of the East coast'. And among the jewels the city boasts of is the government-owned Rashtriya Ispat Nigam Ltd (RINL) or the Vizag Steel Plant (VSP), declared a 'Navaratna' in 2010 but now facing an uncertain future. In 2021, the Union cabinet had approved the disinvestment plan for the plant, but after massive protests in the city, the move was put on ice.

Cut to 2025, and with a new government led by NDA partner Telugu Desam Party (TDP) in power in the state, RINL has been given a lifeline. On January 17, the Cabinet Committee on Economic Affairs (CCEA) chaired by Prime Minister Narendra Modi confirmed a financial package of Rs 11,440 crore for RINL's revival. The news came as a bit of a surprise, as just the week before the PM was in Vizag to lay the the founation for projects worth some Rs 2 lakh crore but had made no mention of RINL. Sources say a strident Naidu had impressed on Modi how crucial the revival package was. It now includes an equity infusion of Rs 10,300 crore and Rs 1,440 crore in working capital loans which will be converted to seven per cent non-cumulative preference share capital, redeemable after 10 years (prefer-